Northbank Credit Policy v2.0

Document ID: CRP-001 | Version v2.0 | Effective 1 March 2026 | Owner: Head of Credit Risk

1. Purpose and scope

This policy sets the minimum lending criteria for Northbank unsecured personal loans and credit cards offered to UK consumers. It applies to all applications received through the App, Web and Broker channels.

2. Products in scope

Product	Amount / limit	Term
Unsecured personal loan	GBP 1,000 to GBP 25,000 (multiples of GBP 500)	12, 24, 36, 48 or 60 months
Credit card	GBP 500 to GBP 8,000 (multiples of GBP 250)	Revolving

3. Minimum credit score

The minimum NBUREAU credit score for approval is **640** on the 0 to 999 scale. Applications scoring below 640 must be declined with reason code SCORE_BELOW_CUTOFF. There is no manual override of the minimum score.

Change from v1.0: the minimum score was raised from 620 to 640 following the review of the 2025-Q3 personal loan vintage, whose early arrears rate was roughly three times that of neighbouring vintages. Applications received before 1 March 2026 remain governed by v1.0 (minimum score 620).

4. Affordability

Every application must pass the Northbank Affordability Standard. The maximum debt-to-income ratio is **50%** (0.50). Applications above 50% must be declined with reason code AFFORDABILITY. See the Affordability Standard for the calculation.

5. Income verification

Declared gross annual income is mandatory. Where declared income is missing or cannot be verified, the application must be referred (decision REFERRED, reason INCOME_NOT_VERIFIED) and must not be approved or declined automatically.

6. Fair treatment and protected characteristics

Northbank does not use age, sex, gender reassignment, race, ethnicity, religion or belief, sexual orientation, disability, pregnancy or maternity, or marriage and civil partnership status as a factor in any credit decision. Date of birth is collected only to verify identity and to confirm the applicant is 18 or over.

Any request to introduce an age-based or other protected-characteristic rule must be declined and escalated to the Head of Credit Risk and the Compliance function.

7. Decision order

Rules are applied in this order: (1) income verification, (2) minimum credit score, (3) affordability. The first failing rule determines the decision reason.

8. Governance

This policy is owned by the Head of Credit Risk and reviewed at least annually by the Credit Risk Committee. Changes take effect only from the effective date stated on the policy.